

NAIROBI SECURITIES EXCHANGE PLC

ANNOUNCEMENT OF AUDITED GROUP RESULTS

FOR THE YEAR ENDED 31 DECEMBER 2023

Summary Consolidated Statement of Profit or Loss and Other Comprehensive Income	2023	2022
	Audited	Audited
	Kshs '000	Kshs '000
Transactions levy - Equity	211,094	225,838
Transactions levy - Bond	64,395	79,380
Data vending income	116,569	93,548
Annual, initial and additional listing fees	69,838	71,175
Interest income	120,950	104,376
Broker back office subscription	27,944	29,656
Unquoted securities platform fees	2,439	6,463
Dividend from equity investment	8,013	6,047
Other income	41,079	26,281
Total income	662,321	642,764
Staff costs	176,452	177,359
Systems maintenance costs	61,847	56,001
Depreciation and amortisation	37,720	48,512
Building and office costs	41,914	43,193
Directors' emoluments	47,922	47,289
Revaluation loss on property	27,500	17,222
Other operating expenses	202,683	161,413
Total expenses	596,038	550,989
Operating profit before ECL and fair value movements	66,283	91,775
Provision for expected credit losses (ECL) and bond mark to market valuation	(4,528)	(7,432)
Share of loss of associate	(19,429)	(46,544)
Profit before taxation	42,326	37,799
Taxation charge	(23,922)	(24,075)
Profit for the year	18,404	13,724
Other comprehensive income	23,597	29,563
Total comprehensive income for the year	42,001	43,287
Earnings Per Share* - Basic and diluted (Kshs)	0.07	0.05
*EPS based on no. of shares	260,452,401	260,391,721

Summary Consolidated Statement of Financial Position	2023	2022
	Audited	Audited
	Kshs '000	Kshs '000
Assets		
Property and equipment and investment property	404,657	447,628
Intangible assets	108,048	108,360
Investment in associate	166,151	188,275
Financial assets at fair value through other comprehensive income – Quoted equity instruments	133,121	106,829
Government securities at amortised cost	201,973	202,615
Financial assets at fair value through profit or loss - Government securities	241,324	256,375
Cash and bank balances and bank deposits	407,082	382,231
Other assets	365,708	341,376
Total assets	2,028,064	2,033,689
Equity and liabilities		
Share capital	1,041,810	1,041,567
Share premium	279,489	279,459
Revenue reserves	492,979	526,654
Non controlling interest	6,860	17,366
Other reserves	55,593	31,996
Non current liabilities	13,965	13,965
Other liabilities	137,368	122,682
Total shareholders' funds and liabilities	2,028,064	2,033,689

Summary Consolidated Statement of Cash Flows	2023	2022
	Audited	Audited
	Kshs '000	Kshs '000
Cash flows from operating activities		
Cash (used in)/generated from operations	(13,547)	63,393
Tax paid	(27,905)	(97,362)
Cash used in operating activities	(41,452)	(33,969)
Cash generated from investing activities	155,488	(86,314)
Cash used in financing activities	(49,950)	(243,965)
Increase/(decrease) in cash and cash equivalents	64,086	(364,248)
Cash and cash equivalents at the start of the year	250,234	613,095
Effect of foreign exchange rate changes	4,486	1,387
Cash and cash equivalents at the end of the year	318,806	250,234

Summary Consolidated Statement of Changes in Equity	Share capital	Share premium	Revaluation & Other reserves	Retained earnings	Non controlling interest	Total
	Kshs '000	Kshs '000	Kshs '000	Kshs '000	Kshs '000	Kshs '000
At 1 January 2022	1,040,017	278,579	2,969	746,246	17,518	2,085,329
Profit for the year	-	-	-	13,876	(152)	13,724
Other comprehensive income for the year	-	-	29,027	536	-	29,563
2021 second special dividend declared in the year	-	-	-	(130,002)	-	(130,002)
2021 final dividend declared in the year	-	-	-	(104,002)	-	(104,002)
Issue of shares to employee share ownership plan	1,550	880	-	-	-	2,430
At 31 December 2022	1,041,567	279,459	31,996	526,654	17,366	1,897,042
Profit for the year	-	-	-	18,403	1	18,404
2022 dividend declared in the year	-	-	-	(52,078)	-	(52,078)
Other comprehensive income for the year	-	-	23,597	-	-	23,597
Reduction in NCI on increase in shareholding in AKS	-	-	-	-	(9,523)	(9,523)
Issue of shares to employee share ownership plan	243	30	-	-	-	273
2023 dividend declared by AKS Nominees Ltd	-	-	-	-	(984)	(984)
At 31 December 2023	1,041,810	279,489	55,593	492,979	6,860	1,876,731

OPERATING ENVIRONMENT IN 2023

The operating environment in Kenya continued to experience persistent challenges with rising interest rates, elevated inflation and a protracted weakening of the Kenya Shilling for most of the year. The challenges were compounded by heightened fiscal vulnerabilities such as high debt and exchange rate pressures. The economy however displayed signs of recovery towards the last quarter on account of moderate growth in agriculture and a rebound in the services sector.

The challenging environment exerted significant pressure on the performance of the NSE. In particular, the rise in interest rates in developed markets and local foreign exchange challenges led to foreign investors, who are key participants in our market, to reallocate capital, resulting in price erosion across the listed securities during the year.

MARKET PERFORMANCE

Year-on-year trading volumes in the equity market increased by 6.4% during the year under review to settle at 3.2 billion shares up from 3 billion shares recorded in 2022. However, due to price erosion, the equity market turnover recorded a 6.35% decline to close the year at Kshs. 88.2 billion from Kshs. 94.2 billion posted in 2022. In 2023, bond market turnover similarly declined by 13.20% to settle at Kshs. 643 billion, from Kshs. 741 billion in 2022, due to reduced valuations on already issued bonds, and as investors choose to hold high yielding bonds, issued in 2023, to maturity.

The Real Estate Investment Trusts (REITs) segment was active with the LAPTRUST Imara I-REIT coming to the market by way of introduction on the main investment market segment (MIMS) in March 2023, signalling a resurgence of listings at the bourse. The listing represented the first REIT issuance by a pension fund in the country.

The NSE also marked a critical milestone, admitting Linzi Sukuk, the country's first-ever Sukuk Bond. The Kshs. 3 billion Sukuk was admitted on the Unquoted Securities Platform. The admission broadens the products offered at the NSE and unlocks potential for new REIT issuances as well as Islamic products in the country.

FINANCIAL HIGHLIGHTS

The Group reported an increase in profit after tax of 34% from Kshs. 13.7 million in 2022 to Kshs. 18.4 million in 2023. This growth is attributed to the non-trading income growth strategy adopted by the Board during the year under review and a reduced loss from our associate holding in the central depository. Data income experienced commendable growth, with revenues increasing from Kshs. 93.5 million in 2022 to Kshs. 116.6 million in 2023. Equally, interest income increased from Kshs. 104.4 million in 2022 to Kshs. 120.9 million during the year under review.

Equity transaction levy reduced from Kshs. 225.8 million in 2022 to Kshs. 211.1 million in 2023 as a result of the decrease in equity turnover in the year under review. Bond levy also decreased 19% from Kshs. 79.4 million in 2022 to Kshs. 64.4 million in 2023.

Total expenses increased by 8% from Kshs. 551 million in 2022 to Kshs. 596 million in 2023. This was mainly driven by inflationary pressures as well as the impact on the weakening of the Kenya shilling against major currencies.

Total investable assets stood at Kshs. 850.4 million inclusive of the regulatory restricted funds amounting to Kshs. 317.2 million.

OUTLOOK FOR 2024

Our expectation on business performance in the year 2024 remains positive and the Board is keen on deploying a multifaceted strategy that will enhance an accelerated recovery of business performance.

The recent, partial advanced settlement of Kenya's June 2024 Eurobond in early 2024 sent a positive signal to the market. The move significantly buoyed investor sentiments and strengthened the Kenya Shilling against major currencies, thereby injecting a renewed sense of confidence and optimism into the market. On the back of this success, the NSE has started to witness improved performance in the equity and bond markets. We are encouraged and hopeful that this trend will continue and that 2024 presents a good opportunity for investors to invest in the Kenyan market due to the attractive valuations across asset classes at the NSE.

Globally, market performance prospects are positive as most economists expect interest rates to drop or, at a minimum, remain steady as inflation improves across many developed economies. This is expected to prompt increased flows and activity across emerging and frontier market assets including in Kenya.

This year, we envisage several listings on the MIMS which in effect will offer more opportunities to our investors and enhance market liquidity.

To further enhance system resilience and capabilities, the NSE will commission a significant upgrade of its equities trading system in 2024. The upgrade will replace our aging system and is envisioned to support new trading capabilities such as market making, fractional trading and provide for additional innovative trading techniques. These system capabilities are geared towards enhancing market liquidity.

The Board is appreciative of the continuous productive engagements with the National Government, a demonstration of His Excellency President Dr. William Samoei Ruto's commitment to the growth of Kenya's economy through the capital market.

The Board continues to place special focus on driving new growth opportunities especially in non-trading revenue streams to ensure that the business remains adequately cushioned against market volatility. We have witnessed considerable growth in various revenue streams such as data and capacity building within the region. Importantly, however, the Board will continue to implement strategies that will grow liquidity in the equity and

bond markets, which traditionally have accounted for over 50% of the top line.

The NSE will also continue to be a thought leader and spearhead the embedding of sound Environmental, Social and Governance (ESG) matters in the capital markets and play its part in the climate change agenda, through advocating for the issuance of enhanced green finance instruments and exploration of carbon credits trading.

Finally, the Board is pleased to announce the appointment of Mr. Frank Mwiti as the new Chief Executive of the NSE effective 2nd May 2024. The Board is confident of Mr. Mwiti's strategic capabilities and exceptional experience in frontier, emerging and developed financial markets and will accord him the necessary support as he leads in the next phase of growth in line with our strategic plan.

The Board also wishes to thank Mr. Geoffrey Odundo for his service and immense contribution to the NSE over the past nine years. The Board wishes him well in his future endeavors.

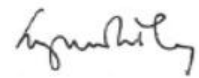
ANNUAL GENERAL MEETING

The Annual General Meeting of the Nairobi Securities Exchange Plc will be held on 29th May 2024. Further information will be sent to shareholders ahead of the Meeting.

DIVIDENDS

The Board of Directors recommends to the members at the forthcoming Annual General Meeting the payment of a first and final dividend of Kshs. 0.16 per share (2022: Kshs. 0.20 per share) to be paid by 31st July 2024 to members on the register at the close of business on 30th May 2024.

The financial statements were approved and authorised for issue by the Board of Directors on 28th March 2024 and were signed on its behalf by:


Mr. Kiprono Kittony, EBS
Chairman


Mr. John Niepold
Director

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